

Score Matters

Getting the best interest rate on your house is also a very important reason why you want the best credit score possible. The credit score is here to stay, so make it work your way. The mortgage lender is looking at your FICO score, hoping he can hit you with a high interest rate. You want a high score so you can get a lower rate. The difference on what a person with good credit pays over the life of a mortgage versus what a person with the lower FICO score pays over thirty years could practically buy another house.

Take a look at these two people, and see the difference a score makes. What goes up makes the interest and payments go down.

Sam followed the *Debt Cures* methods prescribed here in these pages and raised his credit score to 720. That qualified him for the best interest rate of 5.5%, making Sam very pleased. Diane hadn't yet learned of the *Debt Cures* solutions to her debt troubles. She has some work to do to clean up her credit report; her FICO score was in the low 500s. That is considered poor, and she gets hit with an interest rate of 9.3%.

Diane also doesn't realize what a huge difference her rate is compared to Sam's. She even asked, "So what is the big deal about a few percentage points?"

It is a very big deal.

FICO Score	Interest Rate	Payment	30 Years of Interest
500	9.3%	\$1,651	\$394,362
560	8.5	\$1,542	\$355,200
620	7.3	\$1,373	\$294,247
675	6.1	\$1,220	\$239,250
700	5.6	\$1,151	\$214,518
720	5.5	\$1,136	\$208,853

Lesson Learned

Diane takes a quick look at the chart, not paying attention to the last column showing the total interest accumulation. She sees that her monthly payment will be about \$1,650, while Sam pays only \$1,100